Salary vs Distribution Calculator Guide

How To Use It Without Guessing

This calculator helps you answer two important questions:

1. Is an S-Corp actually worth it for you?
2. Are you paying yourself the right salary?

Most people guess on both — and that's where problems start.

START HERE

Open the Salary vs Distribution Calculator

The calculator has two tabs:

- Not an S-Corp yet
- Already an S-Corp owner

TAB 1 – "NOT AN S-CORP YET"

This tab helps you estimate:

- how much you could save by electing S-Corp status
- how your salary affects those savings

Enter these inputs:

Revenue → total business income
Net profit → what's left after expenses
Estimated salary → what you would pay yourself
Tax bracket → your estimated rate
Years in business → used for long-term estimates

WHAT THIS TAB IS REALLY SHOWING YOU

This is not just about "how much you save." It's showing you:

- how salary affects payroll taxes
- how distributions reduce those taxes
- how choosing the wrong salary changes everything

> **Important:**
> If your salary is too high → you overpay payroll taxes
> If your salary is too low → you increase audit risk
>
> The goal is not the lowest salary. The goal is a salary that makes sense and can be supported.

TAB 2 – "ALREADY AN S-CORP OWNER"

This tab helps you see if you are overpaying, underpaying, or in a reasonable range.

Enter these inputs:

W-2 salary → what you currently pay yourself
Hours worked → how much you actually work
Hourly rate → estimated market value of your work
Tax bracket → your estimated rate
Years → long-term impact

WHAT THIS TAB IS REALLY SHOWING YOU

This is a "stress test" for your salary. It shows:

- how much you might be overpaying in taxes
- how much risk you might have if underpaying
- how small changes in salary can have a big impact

THE "MANY HATS" STRATEGY

Most business owners wear multiple hats — owner, manager, marketer, service provider. Each role has a different market value.

A reasonable salary is based on what you actually do and how much time you spend in each role — not a fixed percentage.

WHERE PEOPLE GET THIS WRONG

- Guessing a salary based on profit
- Using a fixed percentage (like 50/50)
- Never updating salary over time
- Ignoring how roles change as the business grows

Small changes = big impact
A $20,000 salary difference can mean thousands in extra taxes — or thousands in potential exposure.

IMPORTANT NOTE

This calculator gives you direction. It does not replace a fully documented salary analysis.

WHAT TO DO NEXT

Use the calculator to get direction. Then use your system to set your salary correctly, document your decision, and build a structure that makes sense.

The calculator gives you direction. The system makes it defensible.